

is not just service-oriented, but also sustainable and digitally enabled.

Compact, transit-oriented development can help reduce travel distances and emissions, while integrated water, sanitation, and waste systems will improve public health.

“Cities like Vienna and Copenhagen have shown how affordable housing, local energy solutions, and turning waste into energy can make urban living more inclusive and climate friendly. In India, while missions like Smart Cities and the National Urban Digital Mission laid the groundwork, more recent efforts such as the Urban Infrastructure Development Fund and state-level climate action plans are helping scale up these approaches in a more systematic and future-ready way,” says Mishra.

Chatterjee explains that the public-private partnerships are going to shift towards social infrastructure. “You are going to see a shift in PPP from core infra to social sector such as health, education, drinking water because the core is already reaching levels of maturity and is self-sustaining,” he says.

The growth is driven through digital transformation. By harnessing new-age digital technologies, data-driven decision making, adopting a sustainable approach to infrastructure development and putting in a robust governance, cities can progressively meet their sustainable growth objectives as India becomes a high-performing economy by 2047.

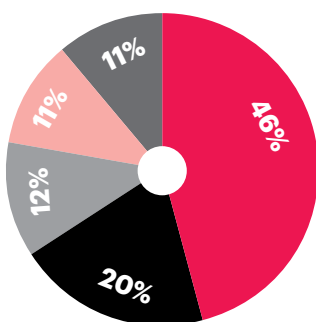
FINANCING METHODS

As India charts its path to Viksit Bharat by 2047, financing infrastructure at scale will require a thoughtful blend of public



PRIVATE CAPEX PARTICIPATION

• **85% of National Infrastructure Pipeline investments are concentrated in four major sectors**



● TRANSPORT ● ENERGY
● WATER ● REAL ESTATE ● OTHERS

SOURCE ICRA

OPENING THE TAP

• **Spending on infrastructure has seen a significant rise**

1.3

% OF GDP
FY20

3.5

% OF GDP
FY24

6.5

% OF GDP
FY29*

NOTE *PROJECTED

SOURCE MORGAN
STANLEY/UNION BUDGET
DOCUMENTS

investment and innovative private capital mobilisation. Public funding will understandably continue to play a central role, especially in areas with strong social returns.

Given the scale of ambition outlined in the National Infrastructure Pipeline (NIP)—estimated at \$1.4 trillion—there is a growing case for expanding the use of blended finance. Combining concessional public funds with private capital can de-risk complex or early-stage projects, thereby making them more attractive for investment.

Established in 2021, the National Bank for Financing Infrastructure and Development (NaBFID) was created to tackle India's infrastructure financing challenges. It has raised over \$3 billion through bond issuances across four tranches, with an average maturity exceeding 14 years.

“Overall, a coordinated policy approach—combined with diversified, resilient financing mechanisms—will be central to delivering India's infrastructure ambitions. The groundwork is already in place; the opportunity now lies in fostering innovation and scaling up what works,” says Mishra.

However, ease of doing business remains a key challenge. Dange concurs. “It's not just about securing funds, but also creating an enabling environment that fosters innovation, efficiency, and collaboration,” he says.

The infrastructure for the future—flying taxis and hyperloops—will require a mix of innovative ideas, accessibility, financing, and policy amendments to achieve the Viksit Bharat goal. **BT**

@richajourno